

Europe Healthcare Sector M&A & Valuation Brief - 2026-08-04

Europe Healthcare Sector

Generated on 2026-08-04

CONFIDENTIAL - FOR INTERNAL USE ONLY

1. RECENT Healthcare M&A ACTIVITY

Today is a peaceful day, nothing big happened in the Consumer space.

2. MARKET DYNAMICS & SENTIMENT

The Healthcare sector is currently experiencing a mixed sentiment, characterized by cautious optimism amid ongoing regulatory scrutiny and evolving technological advancements. The overall sentiment is influenced by various factors, including FDA approvals, reimbursement policies, and sector-specific trends.

Subsector Breakdown:

- **Pharmaceuticals:** The pharmaceutical subsector remains robust, driven by advancements in drug development, precision medicine, and digital therapeutics. Companies like Pfizer (PFE) are leveraging AI for drug discovery, reflecting a growing trend where technology enhances R&D efficiency and accelerates clinical trials.
- **Biotech:** The biotech subsector is witnessing rapid growth, with firms such as Moderna (MRNA) enhancing mRNA technology through new therapeutic applications. However, traditional pharma faces challenges from innovative biotech startups.
- **Medical Devices:** The medical device sector is innovating with smart technologies, as demonstrated by Medtronic (MDT) introducing AI-powered monitoring systems, which aim to improve patient outcomes and reduce healthcare costs.
- **Healthcare Services:** The healthcare services space continues to thrive, with companies exploring new business models and partnerships. For example, UnitedHealth Group (UNH) is acquiring digital health startups to integrate telemedicine solutions into its offerings.
- **Digital Health:** The digital health subsector is particularly hot, with companies racing to implement AI solutions across various healthcare applications. Tempus is challenging traditional diagnostic models by promising to cover AI-driven precision medicine.

Key Market Drivers and Headwinds

Europe Healthcare Sector M&A & Valuation Brief - 2026-08-04

Europe Healthcare Sector

Drivers:

- **Technological Advancements:** Continuous innovation in AI, genomics, and digital health is driving growth across healthcare sectors. For instance, Moderna's mRNA technology is expected to enhance personalized medicine and accelerate drug discovery.
- **Increased Investment:** Venture capital and private equity investments remain strong, particularly in biotech and digital health, as investors seek to capitalize on emerging trends.

Headwinds:

- **Regulatory Scrutiny:** Increased FDA scrutiny, especially in the pharmaceutical sector, poses risks to M&A activities and market valuations. Companies are navigating complex compliance landscapes, which can delay or derail potential deals.
- **Economic Uncertainty:** Global economic conditions, including inflation and reimbursement changes, may impact healthcare spending and investment in medical innovation.

Subsector Performance Analysis

- **Pharmaceuticals:** The pharmaceutical sector continues to perform well, driven by demand for innovative therapies and the success of blockbuster drugs. Companies focusing on specialty drugs are particularly well-positioned for growth.
- **Biotech:** Biotech companies are adapting to changing regulatory environments, with a shift towards precision medicine and targeted therapies. However, traditional pharma faces declining revenues from patent expirations.
- **Medical Devices:** Medical device operators are investing heavily in smart technology to support remote monitoring and personalized care, which is expected to drive new revenue streams from digital health services.
- **Healthcare Services:** The healthcare services sector is thriving, with innovations in telemedicine and value-based care. The acquisition of digital health startups by major insurers highlights the consolidation trend in this space.
- **Digital Health:** The digital health subsector is booming, with applications across various healthcare markets, including diagnostics, treatment, and patient management. Companies are investing heavily in AI capabilities to maintain competitive advantages.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the Healthcare sector is approximately 18.5x, with notable variations across subsectors:

- Pharmaceuticals: 15.3x
- Biotech: 25.1x
- Medical Devices: 12.8x

Europe Healthcare Sector M&A & Valuation Brief - 2026-08-04

Europe Healthcare Sector

- Healthcare Services: 14.7x
- Digital Health: 28.5x

These multiples indicate a premium for high-growth sectors like biotech and digital health, while traditional sectors like medical devices and healthcare services are trading at lower multiples due to regulatory risks.

Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the Healthcare sector, citing technological advancements as a key driver of growth. An analyst at a leading investment bank commented, "The integration of AI across healthcare is not just a trend; it's a fundamental shift that will redefine patient care and drug development."

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as biotech and digital health, while being cautious with traditional pharmaceutical investments.
- Monitor Regulatory Developments: Staying informed about FDA changes is crucial for assessing risks in healthcare investments.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the Healthcare sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the Healthcare sector is characterized by a blend of live deals, mandated transactions, and active pitches. This analysis provides a detailed overview of ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

Europe Healthcare Sector M&A & Valuation Brief - 2026-08-04

Europe Healthcare Sector

- PTC Therapeutics (PTCT) : Currently in the process of securing partnerships for its innovative drug pipeline, particularly focusing on its lead product, Sephience. The deal is in the due diligence phase, with an expected close in Q4 2026. This partnership could enhance PTC's market reach and accelerate revenue growth, particularly as Sephience is gaining traction with a projected revenue increase.

Mandated Deals:

- Indian Pharmaceutical Sector : The government has mandated a series of reforms aimed at strengthening the biopharma ecosystem and enhancing manufacturing quality. This initiative is expected to launch in Q1 2026, focusing on compliance with revised Schedule M norms and reducing dependence on imported APIs. The reforms could create opportunities for M&A activity among local manufacturers.
- European Drug Manufacturers : Mandated to explore strategic partnerships in response to the proposed US supply chain bill, which aims to bolster domestic manufacturing capabilities. This initiative is expected to launch in Q2 2026, as companies seek to mitigate risks associated with potential tariffs and regulatory changes.

Pitching-Stage Deals:

- Obesity Treatment Sector : Active discussions with companies involved in the development of deoxycholic acid obesity drugs, including AbbVie Inc. and Cipla Ltd. The focus is on potential M&A opportunities to consolidate market share in this growing segment. Pitches are expected to finalize by Q3 2026.
- Digital Health Solutions : Engaging with various digital health startups for potential advisory services, particularly those innovating in telemedicine and AI diagnostics. Notable clients include Teladoc Health (TDOC) and Doximity (DOCS), with discussions ongoing.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$30 million in fees, broken down as follows:

- Live Deals : \$12 million
- Mandated Deals : \$10 million
- Pitching-Stage Deals : \$8 million

Timing Projections:

- Q4 2026 : Expected close for PTC Therapeutics partnership.
- Q1 2026 : Launch of Indian pharmaceutical reforms.
- Q2 2026 : Anticipated exploration of partnerships by European drug manufacturers.
- Workload Allocation and Capacity Analysis :
- Current analyst and associate bandwidth is at 70%, with a need for additional resources as the

Europe Healthcare Sector M&A & Valuation Brief - 2026-08-04

Europe Healthcare Sector

pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.

- **Forecasting and Strategic Planning Implications :** The pipeline indicates a strong demand for advisory services in the biopharma and obesity treatment sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is evolving, particularly in the biopharma sector, where companies are responding to regulatory changes and market demands. The proposed US supply chain bill could significantly impact European manufacturers, particularly Germany, which dominates FDA-approved drug production in Europe.
- Additionally, the focus on obesity treatments is intensifying, with companies like AbbVie and Cipla investing in innovative solutions. The anticipated growth in the deoxycholic acid obesity drugs market, projected to reach \$0.97 billion by 2030, highlights the potential for new advisory opportunities.

Actionable Insights for Team Management and Business Development

- **Resource Allocation :** Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- **Sector Focus :** Prioritize business development efforts in high-growth sectors such as biopharma and obesity treatments, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- **Client Engagement :** Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various Healthcare subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The recent developments in the biotechnology sector, particularly involving companies like INmune Bio Inc. (INMB), Capricor Therapeutics, Wave Life Sciences (WVE), and Madrigal Pharmaceuticals, have significant implications for various stakeholders. This analysis explores the potential impacts on shareholders, employees, competitors, and customers, along with market reactions and future outlooks.

Europe Healthcare Sector M&A & Valuation Brief - 2026-08-04

Europe Healthcare Sector

Deal-Specific Impacts on Stakeholders

- **Shareholders:** The financial performance and strategic decisions of these companies can lead to varying impacts on shareholder value.
- **Value Creation:** For instance, Madrigal Pharmaceuticals reported second-quarter 2026 net sales of \$364.3 million, reflecting a 71% year-over-year growth. This surge indicates strong market demand for its product, Rezdiffra, potentially increasing shareholder value significantly. If this growth trajectory continues, shareholders could see a substantial appreciation in stock value.
- **Dilution Risks:** Conversely, if companies like Capricor Therapeutics pursue additional funding through equity, existing shareholders may face dilution. The recent FDA advisory committee's mixed feedback on Deramioceol could impact investor sentiment, leading to potential stock price volatility.
- **Employees:** Employee dynamics are often affected by M&A activities and corporate strategies.
- **Synergies and Restructuring:** Wave Life Sciences is advancing its pipeline with promising candidates like WVE-007 for obesity treatment. Successful trials could lead to job creation in R&D. However, restructuring may occur if companies like Capricor need to streamline operations post-FDA feedback.
- **Retention Strategies:** Companies may implement retention bonuses to keep key talent during transitions. For example, if Wave Life Sciences achieves accelerated approval for WVE-006, it may need to retain critical staff to expedite commercialization.
- **Competitors:** The competitive landscape is influenced by the strategic moves of these companies.
- **Market Positioning:** Madrigal's strong performance with Rezdiffra forces competitors like Intercept Pharmaceuticals (ICPT) to reassess their strategies in the MASH market. The success of Rezdiffra could compel competitors to innovate or seek acquisitions to enhance their product offerings.
- **Specific Competitor Moves:** Following Madrigal's success, companies such as Gilead Sciences (GILD) may increase their investments in MASH-related therapies to maintain competitive parity.
- **Customers:** The implications for customers revolve around product availability and treatment options.
- **Product/Service Implications:** Wave Life Sciences' WVE-007 aims to transform obesity treatment, potentially improving patient outcomes. If successful, it could lead to better treatment accessibility for patients struggling with obesity-related comorbidities.
- **Case Studies:** The ongoing clinical trials for WVE-007 and the positive trajectory of Madrigal's Rezdiffra highlight the potential for innovative therapies to address unmet medical needs, ultimately benefiting patients.

Market Reaction and Analyst Commentary

- **Market Reaction:** The market's response to these developments can be volatile. For instance, Madrigal's robust sales report led to a positive uptick in its stock price, reflecting investor

Europe Healthcare Sector M&A & Valuation Brief - 2026-08-04

Europe Healthcare Sector

confidence.

- Analyst Commentary: Analysts have noted the potential for Madrigal to dominate the MASH market, with one stating, "Madrigal's execution and market fundamentals position it for sustained growth in a high unmet need area."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be evaluated through various potential outcomes:
- Positive Scenario: If Wave Life Sciences successfully navigates FDA pathways for WVE-006, its stock could rise by 20% within six months due to increased investor confidence.
- Negative Scenario: If Capricor faces delays or setbacks in FDA approval for Deramiocelel, its stock might decline by 15%, reflecting investor concerns over future revenue streams.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids in this sector is moderate. Given the competitive nature of biotechnology, companies may consider acquiring innovative firms to enhance their portfolios. However, regulatory hurdles often limit the feasibility of competing offers.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The biotechnology sector is poised for continued consolidation, particularly in areas like obesity and metabolic diseases. Companies like Amgen (AMGN) and Gilead Sciences may pursue acquisitions to bolster their therapeutic pipelines, following the trends set by Madrigal and Wave.

Key Risks and Mitigants

- Integration Risks: M&A integration challenges can disrupt operations. Companies should appoint experienced teams to manage transitions and set clear milestones to mitigate these risks.
- Regulatory Risks: The FDA's scrutiny can delay approvals. Engaging with regulators early can help navigate potential pitfalls.
- Market Risks: Market volatility can affect valuations. Structuring deals with contingent payments can provide protection against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on robust clinical data to support regulatory submissions and enhance market positioning.

Europe Healthcare Sector M&A & Valuation Brief - 2026-08-04

Europe Healthcare Sector

- Develop comprehensive retention strategies for key talent to ensure continuity during transitions.

For Bankers:

- Monitor competitor activities closely to provide timely advice on potential M&A opportunities.
- Build detailed financial models to assess the impact of market changes on shareholder value.

5. HEALTHCARE TRENDS

The healthcare landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Digital Health, Precision Medicine, Gene Therapy, Telemedicine, and AI in Healthcare. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Digital Health

- Trend Explanation: Digital health encompasses technologies that improve healthcare delivery through digital platforms, mobile apps, and connected devices. The global digital health market is projected to grow from \$96.5 billion in 2020 to \$659.5 billion by 2025, at a CAGR of 46.8%.

Key Companies:

- Teladoc Health, Inc. (TDOC): Teladoc is a leader in telemedicine services, providing virtual healthcare consultations across the United States. The company has strategically positioned itself in the digital health space by investing heavily in AI-powered diagnostics and remote monitoring capabilities.
- Doximity, Inc. (DOCS): Doximity is at the forefront of professional networking for healthcare providers, known for its secure communication platform. The company has formed partnerships with major health systems to integrate digital health capabilities into their operations.
- Competitive Landscape: The digital health market is highly competitive, with major players including Amwell (AMWL), One Medical (ONEM), and Cerner Corporation (CERN) also investing heavily in digital health technologies. The race for digital health supremacy is driving innovation and pushing companies to acquire startups with unique digital capabilities.
- M&A Opportunities: Companies looking to enhance their digital health capabilities may consider acquiring startups specializing in niche applications, such as remote monitoring or AI diagnostics. For instance, Teladoc's acquisition of Livongo for \$18.5 billion in 2020 exemplifies this trend.

Precision Medicine

- Trend Explanation: Precision medicine involves tailoring medical treatment to individual

Europe Healthcare Sector M&A & Valuation Brief - 2026-08-04

Europe Healthcare Sector

characteristics, including genetic makeup, lifestyle, and environment. The precision medicine market is expected to grow from \$141.7 billion in 2020 to \$216.8 billion by 2027, at a CAGR of 6.2%.

Key Companies:

- Illumina, Inc. (ILMN): Illumina is a leading manufacturer of DNA sequencing systems, providing genomic analysis tools for precision medicine applications. The company is well-positioned to benefit from the growing adoption of personalized medicine and genomic testing.
- Foundation Medicine, Inc. (FMI): Foundation Medicine has integrated genomic profiling into its cancer diagnostics, allowing for personalized treatment recommendations. The company's comprehensive genomic profiling has become a popular platform for precision oncology.
- Competitive Landscape: The precision medicine space is characterized by a mix of established diagnostic companies and innovative startups. Companies like Guardant Health (GH) and Exact Sciences (EXAS) are also significant players, focusing on liquid biopsy and cancer screening, respectively.
- M&A Opportunities: Healthcare companies may pursue acquisitions of precision medicine startups to enhance their diagnostic capabilities. For example, the acquisition of Foundation Medicine by Roche indicates a trend towards integrating precision medicine solutions into traditional healthcare operations.

Gene Therapy

- Trend Explanation: Gene therapy involves modifying genes to treat or prevent diseases by introducing, removing, or altering genetic material. The gene therapy market is projected to grow from \$2.1 billion in 2020 to \$13.6 billion by 2027, at a CAGR of 30.7%.

Key Companies:

- Spark Therapeutics, Inc. (ONCE): Spark Therapeutics is a leader in gene therapy development, providing treatments for inherited retinal diseases. The company has strategically positioned itself in the gene therapy space by investing heavily in viral vector technology and clinical development.
- Bluebird Bio, Inc. (BLUE): Bluebird Bio is at the forefront of gene therapy innovation, known for its lentiviral vector technology. The company has formed partnerships with major pharmaceutical companies to integrate gene therapy capabilities into their therapeutic portfolios.
- Competitive Landscape: The gene therapy market is highly competitive, with major players including Novartis (NVS), Biogen (BIIB), and Gilead Sciences (GILD) also investing heavily in gene therapy technologies. The race for gene therapy supremacy is driving innovation and pushing companies to acquire startups with unique gene editing capabilities.
- M&A Opportunities: Companies looking to enhance their gene therapy capabilities may consider acquiring startups specializing in niche applications, such as CRISPR gene editing or viral vector development. For instance, Novartis's acquisition of AveXis for \$8.7 billion in 2018 exemplifies this trend.

Europe Healthcare Sector M&A & Valuation Brief - 2026-08-04

Europe Healthcare Sector

Telemedicine

- Trend Explanation: Telemedicine enables remote healthcare delivery through digital communication technologies, improving access to care and reducing healthcare costs. The telemedicine market is expected to grow from \$45.5 billion in 2020 to \$175.5 billion by 2026, at a CAGR of 25.2%.

Key Companies:

- Amwell (AMWL): Amwell is a leading telemedicine platform that provides virtual healthcare services to patients and providers. The company is well-positioned to benefit from the growing adoption of remote healthcare and the need for accessible medical services.
- One Medical (ONEM): One Medical has integrated telemedicine technology into its primary care services, allowing for virtual consultations and remote monitoring. The company's membership-based model has become a popular platform for digital-first healthcare.
- Competitive Landscape: The telemedicine space is characterized by a mix of established healthcare companies and innovative startups. Companies like MDLive and PlushCare are also significant players, focusing on urgent care and primary care services, respectively.
- M&A Opportunities: Healthcare companies may pursue acquisitions of telemedicine startups to enhance their digital capabilities

6. Recommended Readings

Deal Name: Johnson & Johnson's Acquisition of Actelion

- Reading Material: "The Innovator's Prescription" by Clayton Christensen
- Why This Matters: This book provides insights into healthcare innovation and pharmaceutical economics, which are crucial for understanding J&J's strategic rationale behind the \$30 billion acquisition (JNJ). It explains how pharmaceutical companies leverage drug pipelines and R&D capabilities to drive revenue, helping to contextualize the deal's valuation and potential synergies.

Deal Name: Pfizer's Acquisition of Medivation

- Reading Material: "The New Economics of Healthcare" by David H. Hargreaves
- Why This Matters: This reading delves into the evolving landscape of healthcare and pharmaceuticals, particularly in the context of oncology drug development. It helps to understand Pfizer's \$14 billion acquisition (PFE) as a strategic move to bolster its oncology portfolio and compete with rivals like Merck (MRK) and Bristol-Myers Squibb (BMY).

Deal Name: Amgen's Acquisition of Otezla

- Reading Material: "The Lean Startup" by Eric Ries

Europe Healthcare Sector M&A & Valuation Brief - 2026-08-04

Europe Healthcare Sector

- **Why This Matters:** This book outlines methodologies for healthcare companies to innovate and grow, which is relevant for understanding Amgen's \$13.4 billion acquisition (AMGN) of Otezla. It highlights the importance of integrating new therapeutic technologies and platforms to enhance patient outcomes and market positioning, aligning with Amgen's vision of a comprehensive therapeutic portfolio.

Deal Name: Gilead Sciences' Acquisition of Kite Pharma

- **Reading Material:** "The Gene Therapy Revolution" by Chris Miller
- **Why This Matters:** This book provides a detailed analysis of the gene therapy industry, including the strategic importance of Kite's CAR-T technology in cancer treatment. Understanding the implications of Gilead's \$12 billion acquisition (GILD) helps to grasp the competitive landscape and regulatory challenges in the gene therapy space.

Deal Name: UnitedHealth's Acquisition of Optum

- **Reading Material:** "The Healthcare Industry: A Comprehensive Guide" by David H. Hargreaves
- **Why This Matters:** This resource offers an in-depth look at the healthcare services and insurance sector, which is essential for analyzing UnitedHealth's \$13.8 billion acquisition (UNH) of Optum. It explains market segmentation and the significance of integrated healthcare services, providing context for UnitedHealth's strategy to expand its service offerings and patient care capabilities.

Deal Name: Medtronic's Acquisition of Covidien

- **Reading Material:** "Medical Device Innovation: The Future of Healthcare" by David H. Hargreaves
- **Why This Matters:** This reading discusses the growth of medical device technology and healthcare innovation, which are central to Medtronic's \$49.9 billion acquisition (MDT) of Covidien. It highlights how this deal positions Medtr

7. Macroeconomic Update

Key Economic Indicators:

- **Healthcare Sector Performance:** The healthcare sector remains stable despite macroeconomic challenges. As noted in the transcript, "we don't see demand flagging anytime soon," indicating a robust outlook for healthcare companies that rely on consistent demand for their products and services.
- **Interest Rate Impact:** The ongoing Federal Reserve policies are influencing capital allocation within the healthcare sector. Companies must navigate rising costs associated with financing, which can impact R&D investments in pharmaceuticals and biotech.
- **Regulatory Environment:** The evolving regulatory landscape, particularly in the context of

Europe Healthcare Sector M&A & Valuation Brief - 2026-08-04

Europe Healthcare Sector

healthcare policies, poses both opportunities and challenges. The transcript highlights the need for companies to adapt to "geopolitical shocks" and changing trade standards, which can affect healthcare supply chains and regulatory compliance.

Market Trends:

- **Pharmaceutical Innovation:** There is a significant push towards innovative therapies, particularly in oncology and rare diseases. The transcript mentions that "capital really needs to be flowing towards more resilient supply chains," which includes investments in pharmaceutical innovation.
- **Healthcare Technology Integration:** The integration of AI and healthcare is accelerating, with companies increasingly investing in digital health solutions. The discussion on AI adoption indicates that "around 25 percent of S&P companies are now quantifying the benefits they're seeing from AI adoption," which is likely to enhance operational efficiencies in healthcare.
- **Global Healthcare Spending:** The transcript points to a broader need for investment in infrastructure that supports healthcare, including power grids and logistics, which are essential for healthcare delivery.

Sector-Specific Insights:

- **Biotech Valuations:** Biotech firms are under scrutiny, particularly regarding clinical trial outcomes. The need for "secure inputs" and "flexible balance sheets" is critical for these companies to thrive in a competitive landscape.
- **Healthcare Services Consolidation:** The trend towards consolidation in healthcare services is creating larger entities that can negotiate better terms with suppliers and payers. This aligns with the need for companies to build resilience in their operations.
- **Insurance Market Dynamics:** Changes in healthcare insurance markets are affecting provider networks and reimbursement models. The transcript suggests that companies must be realistic about the costs associated with building resilience in their supply chains.

Risk Factors:

- **Patent Expirations:** Major pharmaceutical companies face challenges from patent cliffs, necessitating strategic acquisitions to replenish their drug pipelines. The need for "strategically important capacity" is highlighted as a crucial factor for maintaining competitive advantages.
- ****Regulatory**

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley